

with the rise of the "welfare-state" in advanced capitalist countries, the number of studies emphasizing the expenditure side of the state has increased. Even in the radical camp it is considered that one form of examining the beneficiary role of a welfare state is to look only at the data concerning socialized consumption and transfer payments, and on that basis the movement of the so-called social-wage. Obviously, since this approach does not take into consideration the taxes paid by workers, it does not properly answer the question whether "socialized consumption" and "transfer payments" constitute a "social wage". As we can see from the preceding empirical discussion, as long as there is a positive net labor tax there cannot be any social wage.

In Chapter V, I examined this approach in detail since it is directly related to the issues regarding the distributive activities of the state vis-a-vis the working class. Besides our theoretical critique of Gough's approach, the empirical procedure of Bowles and Gintis was analyzed critically. The empirical basis of their citizen-wage-based theory is the findings that the social welfare expenditures have been increasing as a percentage both of tax payments and of average take-home pay during the

post-World War II years. According to Bowles and Gintis' empirical construction, social welfare expenditures as a percentage of tax payments have increased from 278 percent in 1959 to 710 percent in 1977, while that of average take-home pay has increased from 21 percent in 1948 to 76 percent in 1977. However, our careful examination of their procedures and the related assumptions they made demonstrated that it is difficult empirically to justify the claim that state expenditures are considerable higher than the taxes paid by workers, even within Bowles' and Gintis' own framework. Consequently, of their arguments, neither the fact that there was "a substantial redistribution from capital to labor" nor the fact that "the working class has increasingly relied upon the citizen wage" has any empirically verifiable basis any more. For example, their figures for the transfer ratio (the ratio of "weekly social welfare expenditures" to "weekly direct taxes on earnings") has changed from 3.8 to 7.1 in 1955 and 1977 respectively, while the corrected figures have demonstrated a change only from 0.97 to 1.71 for the same years.

With our other criticisms of social wage perspective, the conceptual framework proposed in this dissertation fulfills better the task of

analyzing the distributive activities of the state vis-a-vis the working-class than what has been suggested by either Gough or Bowles and Gintis.

This study can be perceived as an initial step toward examining the economic role of the state in capitalist economies. Since it proposes a conceptual framework and attempts to illustrate it empirically only in respect to the distributive role of the state vis-a-vis working class, it must be followed by a similar analysis vis-a-vis the capitalist class. By doing that, not only the role of the state will be understood better, but also the link between this kind of analysis and the theories of economic crisis will be established.

Consequently, our suggestions for further work in the context of the economic role of the capitalist state can be divided into three related areas. Firstly, the role of the state should be analyzed, both within its distributive activities vis-a-vis the capitalist class, and also concerning the state's own absorption of value-added for its own reproductive needs. In doing this, the issue of public debt should be addressed and its impact on future profitability and capital accumulation ought to be

specifically examined. Secondly, we should study, not only the state's indirect role at the level of production, as manifested in the rate of surplus-value, but also its direct participation in the production either through government enterprises or through various price and subsidy policies. Obviously, the latter area of research presupposes the completion of the analysis of the role of the state in the sphere of distribution, and is directly related to it. The analysis of the state in production should be also enlarged so that its role in the production of labor power as a "peculiar commodity" can be clarified. Lastly, the theorizing and the development of an empirically verifiable conceptual framework should incorporate such analyses into the theories of capitalist crisis so that we will be in a better position to understand the increasingly "state-managed" capitalist economies.

APPENDIX I: TaxationTable I: Calculation of Taxes Paid by Labor and Non-Labor - 1964I. Taxes Paid by Labor

1.	Income Taxes-Federal--(ITXF).....	46.001
	(NIPA, Table 3.2, p. 123, 1.3)	
2.	Income Taxes-State/Local--(ITXSL).....	4.018
	(NIPA, Table 3.3, p. 129, 1. 3)	
3.	Total Personal Income Taxes--(TOTPIT).....	50.019
	(1) + (2)	
4.	Labor Share--(LSHAR)	0.73
5.	Labor Share in TOTPIT--(TOTPIT).....	36.514
	(3) x (4)	
6.	Nontaxes-Federal--(NONTXF).....	0.058
	(NIPA, Table 3.4, p. 134, 1. 8)	
7.	Motor Vehicle Licenses-State/Local--(MVL).....	1.065
	(NIPA, Table 3.4, p. 134, 1.12)	
8.	Other Taxes-State/Local--(OTXSL).....	0.274
	(NIPA, Table 3.4, p. 134, 1. 14)	
9.	Nontaxes-State/Local--(NONTSL).....	3.170
	(NIPA, Table 3.4, p. 134, 1. 15)	
10.	Total Other Taxes and Nontaxes--(TOTOTNT).....	4.989
	(6) + (7) + (8) + (9)	
11.	Labor Share in TOTOTNT--(TOTLOTNT).....	3.381
	(10) x (4)	
12.	Contributions for Social Insurance--(SOCINS).....	28.663
	(NIPA, Table 3.1, p. 121, 1. 4)	
13.	Government-administered Lotteries and Pari-.....	0.002
	mutuels--(GLOT) (NIPA, Table 3.17, p. 170, 1. 43)	
14.	Labor Share in Property Taxes--(PROPTXL)	5.959
15.	Total Taxes Paid by Labor--(TOTLT).....	74.517
	(5) + (11) + (12) + (13) + (14)	

II. Taxes Paid by Non-Labor

16.	Estate and Gift Taxes-Federal--(EGTXF).....	2.567
	(NIPA, Table 3.4, p. 134, 1. 7)	
17.	Estate and Gift Taxes-State/Local--(EGTXS).....	0.783
	(NIPA, Table 3.4, p. 134, 1. 11)	
18.	Total Estate and Gift Taxes--(TOTEGT).....	3.305
	(16) + (17)	
19.	Corporate Profits Tax Accruals--(CORPT).....	27.985
	(NIPA, Table 3.1, p. 121, 1. 3)	
20.	Indirect Business Tax and Nontax Accruals	37.065
	--(INDBT)	
	(NIPA, Table 3.5, p. 136 L.1-L.24)	
21.	Non-Labor Share in Property Taxes--(PROPTXNL)	13.950

22. Total Taxes Paid by Non-Labor—(TOTNLT).....99.503
 (3) - (5) + (18) + (10) - (11) + (19) +
 (20) + (21)

III. Total Taxes Paid

23. Total Taxes—(TOTX).....174.02
 (15) + (22)

Footnotes

1. These values are estimated by myself. See the tables, "Calculation of Labor Share" and "Comparison of Labor Shares with Kahn's Estimates."
2. This item is actually a part of the commercial activities (COMACT) of the state and local governments and is listed as such on the expenditure side. Since its value has been negative on the expenditure side, it can be considered as a kind of tax and due to its nature, can also be totally attributed to workers.
3. These values are estimated by myself. See Table II, "Calculation of Labor and Non-Labor Shares in Property Taxes."

Table II: Calculation of Labor and Non-labor Shares in Property Taxes

Year	(1) Property Taxes	(2) Owner-occupied Non-farm Housing Indirect Bus. Tax	(3) Share of Wages & Salaries in Personal Income	(4) Labor Portion of Owner-occ. Hous. Ind. Bus. Tax (2)x(3)	(5) Other Property Taxes	(6) Labor Portion of Other Prop. Tax (5)x(3)	(7) Total Labor Property Tax (4)+(6)	Total Non-labor Property Tax (1)+(5)-(7)
1952	8.385	2.1	0.73	1.533	0.266	0.194	1.727	6.924
1953	9.096	2.4	0.74	1.776	0.287	0.212	1.988	7.395
1954	9.673	2.6	0.73	1.898	0.306	0.223	2.121	7.858
1955	10.448	3.0	0.73	2.190	0.316	0.231	2.421	8.343
1956	11.453	3.5	0.74	2.590	0.302	0.223	2.813	8.492
1957	12.609	3.9	0.73	2.847	0.281	0.205	3.052	9.838
1958	13.764	4.4	0.72	3.168	0.302	0.217	3.385	10.681
1959	14.812	4.7	0.73	3.431	0.506	0.369	3.800	11.518
1960	16.328	5.2	0.73	3.796	0.552	0.403	4.199	12.681
1961	17.580	5.7	0.73	4.161	0.592	0.432	4.593	13.579
1962	18.958	6.2	0.73	4.526	0.635	0.464	4.990	14.603
1963	20.245	6.9	0.73	5.037	0.659	0.481	5.518	15.386
1964	21.687	7.5	0.73	5.475	0.663	0.484	5.959	16.391
1965	23.187	8.2	0.73	5.986	0.689	0.503	6.489	17.387

Table II: (continued)

Calculation of Labor and Non-labor Shares in Property Taxes

Year	(1) Property Taxes	(2) Owner-occupied Non-farm Housing Indirect Bus. Tax	(3) Share of Wages & Salaries in Personal Income	(4) Labor Portion of Owner-occ. Hous. Ind. Bus. Tax (2)x(3)	(5) Other Property Taxes	(6) Labor Portion of Other Prop.Tax (5)x(3)	(7) Total Labor Property Tax (4)+(6)	Total Non-labor Property Tax (1)+(5)-(7)
1966	24.535	8.9	0.74	6.586	0.689	0.510	7.096	18.128
1967	26.964	9.9	0.74	7.326	0.722	0.534	7.860	19.826
1968	29.896	11.2	0.74	8.288	0.763	0.565	8.853	21.806
1969	32.763	12.6	0.75	9.450	0.793	0.595	10.045	23.511
1970	36.674	14.3	0.74	10.582	0.837	0.619	11.201	26.310
1971	40.445	15.7	0.73	11.461	0.861	0.629	12.090	29.216
1972	43.227	16.9	0.73	12.337	0.876	0.639	12.976	31.127
1973	46.355	18.2	0.73	13.286	0.889	0.649	13.935	33.309
1974	48.980	19.3	0.72	13.896	0.863	0.621	14.517	35.326
1975	53.384	21.1	0.71	14.981	0.906	0.643	15.624	38.666
1976	58.247	23.0	0.71	16.330	0.914	0.649	16.979	42.182
1977	63.200	25.3	0.72	18.216	0.894	0.644	18.860	45.234
1978	63.748	25.6	0.72	18.432	1.046	0.753	19.185	45.609
1979	64.403	25.8	0.71	18.318	1.143	0.812	19.130	46.416
1980	68.388	27.4	0.71	19.454	1.227	0.871	20.325	49.290

1. NIPA, T.3.3, 1.9.

2. NIPA, T.8.8, 1.76.

3. See the tale "Calculation of Labor Share" in the Appendix I.

4. NIPA, T.3.4, 1.13.

Table III: COMPARISON OF LABOR SHARE WITH KAHN'S ESTIMATES

Year	(1) Total Tax Liability	(2) L SHARE	(3) Attributable to Workers- (1)x(2)	(4) Kahn's Estimates	(5) Attributable to Workers-KAHN (1)x(4)	(6) Difference (5) - (3)
1952	27.81	.73	20.3	.71	19.75	-0.55
1953	29.43	.74	21.78	.73	21.48	-0.30
1954	26.66	.73	19.46	.72	19.20	-0.26
1955	29.61	.73	21.62	.72	21.32	-0.30
1956	32.73	.74	24.22	.72	23.57	-0.85
1957	34.40	.73	25.11	.74	25.46	0.35
1958	34.34	.72	24.72	.74	25.41	0.69
1959	38.65	.73	28.21	.73	28.21	0.00
1960	39.46	.73	28.81	.75	29.6	0.79
1961	42.22	.73	30.82	.74	31.24	0.42
1962	44.90	.73	32.78	.75	33.68	0.90
1963	48.20	.73	35.19	.75	36.15	0.96
1964	47.15	.73	34.42	.74	34.89	0.47

1. In billions of \$. These figures are IRS estimates and contain only federal portion of income tax.
See Kahn, Table 28, p. 91.
2. See the Table, "Calculation of Labor Share."
3. See Kahn, Table 28, p. 91.
4. As a net, cumulative difference Kahn's estimation 2.32 billion \$ larger than mine.

Table IV All Taxes with Labor and Non-labor Portions

Year	Income Taxes		Contributions for Social Insurance		Corporate Profit Tax		Estate and Gift Taxes	
	Labor	Non-Labor	Labor	Non-Labor	Labor	Non-Labor	Labor	Non-Labor
1952	22.734	8.409	8.970		19.399			1.055
1953	22.913	8.402	9.133		20.287			1.148
1954	21.288	7.874	10.110		17.624			1.163
1955	23.188	8.606	11.452		22.041			1.253
1956	26.212	9.206	12.936		21.993			1.604
1957	27.491	10.168	14.880		21.423			1.787
1958	26.812	10.427	15.208		18.964			1.695
1959	29.707	10.988	18.006		23.646			1.805
1960	32.397	11.983	21.058		22.969			2.242
1961	33.222	12.287	21.936		22.781			2.509
1962	35.289	13.422	24.335		23.972			2.638
1963	38.410	14.207	27.313		26.231			2.885
1964	36.514	13.505	28.663		27.985			3.305
1965	40.513	14.984	30.024		30.876			3.608
1966	47.378	16.646	38.824		33.658			3.886
1967	52.276	18.367	43.385		32.480			3.978
1968	62.568	21.984	47.939		39.154			4.088
1969	76.111	25.371	54.953		39.469			4.625
1970	73.967	25.988	58.590		34.161			4.764
1971	71.774	26.547	64.640		37.532			5.797
1972	87.726	32.447	74.202		41.620			6.804
1973	93.893	34.729	92.434		49.045			6.601
1974	105.831	41.150	104.348		51.570			6.298
1975	101.989	41.657	110.879		50.625			6.448
1976	119.489	48.806	126.029		63.844			7.236
1977	139.318	54.180	140.580		72.699			9.276
1978	161.869	62.949	161.840		83.238			7.242
1979	186.995	76.378	186.898		87.597			7.593
1980	208.425	85.131	203.983		84.652			8.836